E

Corporation tax liabilities



Computing taxable total profit

Content

E Corporation tax liabilities

1. The scope of corporation tax
2. Taxable total profits

a) Recognise the expenditure that is allowable in calculating the tax-adjusted trading profit.

b) Recognise the relief which can be obtained for pre-trading expenditure.

c) Compute capital allowances

Content

E Corporation tax liabilities

2. Taxable total profits

h) Recognise and apply the treatment of interest paid and received under the loan relationship rules.

i)Recognise and apply the treatment of qualifying charitable donations.

j)Compute taxable total profits.

1. Scope of corporation tax

Companies resident in the UK must pay corporation tax on their taxable total profits for each accounting period.

1.1 Residence of companies

Companies resident in the UK are chargeable to corporation tax on their worldwide profits.

A company is UK resident if:

- Incorporated in the UK
- Incorporated overseas, central management and control are exercised in the UK

Lecture illustration

Determination of company residence

1. X Ltd is incorporated in the UK; The directors hold board meetings both in the UK and overseas.
2. Y Ltd is incorporated overseas, but the executive directors are based in the UK and the directors hold frequent board meetings in the UK.
3. Z Ltd is incorporated overseas, the directors hold weekly meetings overseas, but have quarterly meetings in the UK because this is where the non-executive directors are based.

1.2 (Chargeable) Accounting period

Corporation tax is charged based on (chargeable) accounting period of a company.

The accounting period is not necessarily the same period as the company's set of accounts (period of account).

Accounting period：

Accounting period is the period for which corporation tax is charged (must≤12 months).

Period of account：

A period of account is any period for which a company set up its account.

It is usually 12 months, but may be shorter or longer.

1.2.2 The start and end of accounting period

Start of an accounting period: earliest of

1) starting to trade
2) become liable to corporation tax (i.e. open a bank account which pays interest)
3) previous accounting period ending date

End of an accounting period: earliest of

4) 12 months after the start of accounting period
5) the end of the company's period of account
6) ceasing to trade

Lecture example 1

Geyor Ltd opened and placed a deposit into an interest-bearing bank account on 1 March 2025.

The company began trading on 1 April 2025 and prepared its first financial statements for the year ended 31 March 2026.

Identify Geyor Ltd's first accounting period for corporation tax purposes.

A. 1 March 2025 to 31 March 2025

B. 1 April 2025 to 31 March 2026

C. 1 March 2025 to 28 February 2026

D. 1 March 2025 to 31 March 2026

1.2.3 From period of account to accounting period

- Period of account ≤ 12 months

Accounting period = period of account

- Period of account > 12 months

Accounting period 1= First 12 months in period of account

Accounting period 2= Remaining months of period of account

2. Computing taxable total profit

	£
Tax adjusted trading profits (accruals)	X
Investment income (accruals)	X
Property business income (accruals)	X
Miscellaneous income (accruals)	X
Net chargeable gains (receipts)	X
Total profit	X
Less: Qualifying charitable donations (payments)	(X)
Taxable total profits (TTP)	X

Dividends paid and dividends received are NEVER included in TTP calculation.

2.2 Tax adjusted trading profit

	£
Net profit per accounts	X
Add: Disallowable expenses	X
Less: Capital allowances	(X)
Adjusted profit for accounting period	X

- No private use adjustments.

2.3 Key differences with capital allowances for companies

There are some important differences with capital allowances for companies compared to individuals:

① Individuals calculate capital allowance based on period of account, while companies calculate capital allowance based on accounting period.

② No private use assets for companies. This is because the private use is a potentially taxable benefit for the employee.

③ Enhanced capital allowances are available to companies when they purchase new plant and machinery from 1 April 2023.

④ Companies have special calculation rules when disposing of assets on which ECAs were claimed.

2.3.1 First Year Allowance (FYA) - Enhanced capital allowances for companies only

- Condition

Companies can benefit from enhanced capital allowances (ECAs) when they purchase new plant and machinery.

Only expenditure on new plant and machinery qualifies, not expenditure on second-hand assets. Cars do not qualify.

2.3.1 First Year Allowance (FYA) - Enhanced capital allowances for companies only

- Calculation

① 50% FYA: for new plant and machinery which would fall into the special rate pool, neither second-hand assets nor cars.
50% FYA = 50%×Remaining purchase cost (after AIA)

② 100% FYA (full expensing): for new plant and machinery which would fall into the main pool, neither second-hand assets nor cars.
100% FYA (full expensing) = 100% × Remaining purchase cost (after AIA)

2.3.1 First Year Allowance (FYA) - Enhanced capital allowances for companies only

Order of use AIA could be decided by company.

- AIA should be claimed before enhanced capital allowance.
- Tax efficient order (maximum allowance): Second-hand SRP assets → Second-hand MP assets → New SRP assets →New MP assets.

Lecture example 2

Laxze Ltd has an accounting reference date of 31 March. On 1 April 2025, the tax written down value of plant and machinery in the company's main pool and special rate pool is £0.

	£
Second-hand main pool expenditure	260,000
New main pool expenditure	680,000
New special rate pool expenditure	510,000

Calculate Laxze Ltd's capital allowance for the year ended 31 March 2026.

2.3.2 Disposal of assets on which ECAs were claimed by companies

- Calculation

☐ For expenditure which fell into the main pool, the 130% super deduction or full expensing was claimed （曾计提过 130%FYA 的 MP 资产被处置时）：

—— the sale proceeds are brought in as a balancing charge （将销售收入计提为 BC).

2.3.2 Disposal of assets on which ECAs were claimed by companies

- For expenditure which fell into the special rate pool, a 50% first year allowance was claimed （曾计提过 50%FYA 的 SRP 资产被处置时）：

① 50% of the sale proceeds on which the 50% first year allowance was claimed are brought in as a balancing charge （根据成本比例，找到曾计算过 50%FYA 的销售收入部分，该部分收入的 50% 直接计提 BC ）：

$$\text{BC on proceeds relating to 50\%FYA} = \left(Sale\ proceeds * \frac{50\%FYA\ claimed}{orignal\ purchase\ cost}\right) * 50\%$$

② The remaining are deducted from the special rate pool （剩余的销售收入直接从 SRP 中减去）：

Balance of proceeds relating to 50% FYA = sale proceeds - BC on proceeds relating to 50%FYA

Lecture example 3

Hance Ltd has an accounting reference date of 31 March, The tax written down value of Hance Ltd's main pool as at 1 April 2025 is £0. The tax written down value of the special rate pool is £28,200.

During the year ended 31 March 2026, Hance Ltd sold:

- Equipment for £42,600 on which the 130% super deduction has been claimed.
- Equipment for £72,000 on which the 50% first year allowance had been claimed.

Calculate Hance Ltd's capital allowance for the year ended 31 March 2026.

Lecture example 4

Lollipop Ltd has an accounting reference date of 31 March. The tax written down value of Lollipop Ltd's special rate pool as at 1 April 2025 is £425,000.

During the year ended 31 March 2026, Lollipop Ltd sold equipment for £350,000 This equipment was originally purchased for £1,400,000, with lollipop Ltd claiming the annual investment allowance on £1,000,000 of the expenditure, and the 50% first year allowance on the remaining £400,000.

Calculate Lollipo Ltd's capital allowance for the year ended 31 March 2026.

2. Computing taxable total profit

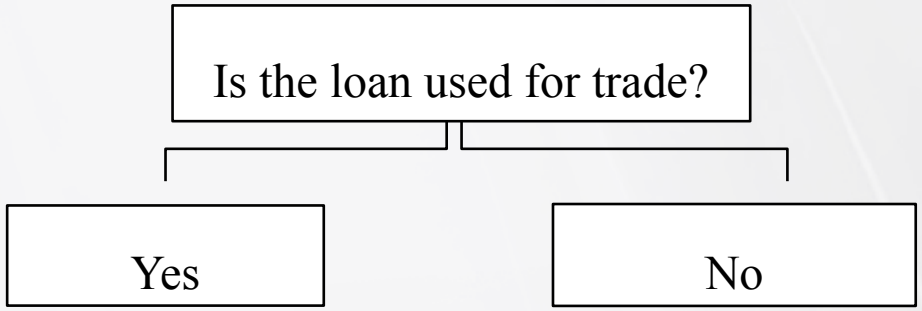
	£
Tax adjusted trading profits (accruals)	X
Investment income (accruals)	X
Property business income (accruals)	X
Miscellaneous income (accruals)	X
Net chargeable gains (receipts)	X
Total profit	X
Less: Qualifying charitable donations (payments)	(X)
Taxable total profits (TTP)	X

Dividends paid and dividends received are NEVER included in TTP calculation.

2.4 Investment income

- All interests paid or received by a company are dealt with under the loan relationship rule.
- If the loan relationship is entered into for trading purposes, the interest receivable is taxable under trading profits, the interest payable is deductible under trading profits.
- If the loan relationship is entered into for non-trading purposes, the interest receivable is taxable under investment income, the interest payable is deductible under investment income.

2.4 Investment income



Interest receivable	0		Interest receivable	X
Interest payable	(X)		Interest payable	(X)
Forms part of trading income	(X)		Investment income	X

2.4 Investment income

	The loan interest receivable related	The loan interest payable related
Trading purpose	Not examinable	Loan to buy plant and machinery Loan to provide working capital Loan to acquire property used for trading purposes E.g., office, warehouse, factory
Non-trading purpose	Interest on bank deposit Interest on building society Interest on other loan	Loan to acquire property which is let out Loan to purchase the share capital of another company

2.4 Investment income

Computation of interest

•All interest receivable/payable by a company is taxable/deductible on the **accrual basis**.

•Interest receivable (earned in the period) =

closing interest receivable + interest received − opening interest receivable

•Interest payable (incurred in the period) =

closing interest payable + interest paid − opening interest payable

Lecture example 5

Interest payable

During the year ended 30 April 2026, Marl plc paid interest of £18,650.

Loan interest payable of £2,500 was accrued on 30 April 2026, with the corresponding accrual on 1 May 2025 being £6,600.

The loan is used for purchasing a fixed plant which is used in the factory.

The company also incurred a loan interest expense of £7,900 in respect of a loan that is used for purchasing an investment property which is been let out.

Lecture example 5

Interest receivable

Marl plc lend money to one of its associated companies on 1 September 2025. Loan interest of £8,650 was received on 31 March 2026, and £4,400 was accrued on 30 April 2026.

The company also received bank interest of £3,500 during the year ended 30 April 2026.

Show the tax treatment of Marl plc's interest payable and receivable during the year ended 30 April 2026.

2.5 Property business income

Accruals basis must be used to calculate property business income for corporation tax purpose.

The property income arising from a company is assessed according to the accounting period.

2.5 Property business income

Rental income	X
Taxable premium	X
Less: allowable expenses	(X)
Property income /(loss)	X/(X)

- No furnished holiday lettings
- The interest paid on a loan to buy or improve property is treated under the loan relationship rule.
- Property loss relief (later)

2.6 Miscellaneous income

Income related patent royalties receivable are included.

Patent royalties payable related to the trade are deducted from trading profit.

2.7 Chargeable gains

Companies pay corporation tax on chargeable gains.

2.8 Qualifying charitable donations (QCDs)

- Qualifying charitable donations are deductible from total profits to calculate taxable total profits.
- Qualifying charitable donations are paid gross by companies (cash basis).
- Small local donations, which are trading-purposes, are deductible from adjusted trading profits.
- If QCDs paid exceed the total profits, QCDs can’t create a loss.

2.9 Long period of account

When a company has a period of account longer than 12 months, it must be split into two accounting period, separate corporation tax computation should be done in each accounting period.

2.9 Long period of account

- Adjusted trading profit before capital allowances: time apportioned.
- Capital allowances: two separate calculations for each accounting period.
- Investment income, property business and miscellaneous income: according to accrual basis for each accounting period, may need time apportioned.
- Chargeable gains: period in which they are realised.
- Qualifying chargeable donations: period in which they are paid
- Corporation tax for each accounting period would be payable on two separate dates.

Lecture example 6

K plc has a 16-month period of account to 31 December 2025.

Relevant income and expenses of the company for the 16-month period are as follows:

	£
Adjusted trading profit before capital allowances	2,880,000
Rental income (rent receivable per month)	2,000
Capital gain (sale of asset on 20 January 2025)	36,000
Qualifying charitable donation (paid on 15 October 2025)	58,000

Calculate taxable total profits for K plc in accounting period.

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Quizzes(self-practice)

Quiz 1

Dragon Ltd has been trading for many years and has an accounting reference date of 30 September. Dragon Ltd ceased trading on 31 October 2025, and prepared accounts for the 13 month period to 31 October 2025.

What will Dragon Ltd's last accounting period be?

A.12 months to 30 September 2025
B.13 months to 31 October 2025
C.12 months to 31 October 2025
D.1 month to 31 October 2025

Quiz 1-A

The correct answer is **D**.
Since an accounting period cannot exceed 12 months Dragon Ltd will have an accounting period for the 12 months to 30 September 2025 and another accounting period for the last month of trading, from 1 October 2025 to 31 October 2025.

Quiz 2

Tolad Ltd has the following interest receipts and payments for the year ended 30 September 2025:

	£
Interest received:	
From bank	15,000
On loan notes	70,000
Interest paid on:	
loan for machine	9,000
loan for running the business (working capital)	2,000
loan to purchase a warehouse	20,000
loan to purchase a property to be let out	30,000
loan to buy shares in another company	3,000

Quiz 2

What amount of net non-trade interest income will be shown in the total taxable profits for Tolad Ltd for the year ended 30 September 2025?

A.£21,000
B.£41,000
C.£52,000
D.£55,000

Quiz 2-A

The correct answer is **C**.

	£	£
Non-trade interest received:		
Bank interest received	15,000	
Interest received on loan notes	70,000	85,000
Non-trade interest payable:		
Interest paid for property loan	30,000	
Interest paid on loan to buy shares in another company	3,000	(33,000)
Net non-trade loan interest received		52,000

Interest paid on the loans for the machine, for working capital and to purchase the warehouse are all for trade purposes.

Quiz 3

Yonder Ltd has an accounting reference date of 31 March each year. Tax written down values brought forward at 1 April 2025 were:

Special rate pool	£5,000
Main pool	£15,000

Quiz 3

Additions and disposals of assets eligible for capital allowances were as follows:

		Cost	Sale proceeds
		£	£
Additions:			
30 April 2025	– Car 1 (130 grams/km)	14,000	
1 June 2025	– Van	10,000	
Disposals:			
31 August 2025	– Equipment on which the 50% first year allowance had been claimed	15,000	11,000

Quiz 3

What amount of capital allowances can Yonder Ltd claim for the year ended 31 March 2026?

A.£13,180
B.£(190)
C.£8,010
D.£14,720

Quiz 3-A

The correct answer is **C**.

	AIA	Special rate pool	Main pool	Claim
Year ended 31 March 2026	£	£	£	£
WDV b/f		5,000	15,000	
Additions qualifying AIA:				
Van	10,000			
Less: 100% AIA	(10,000)			10,000
	0			
Car 1 (130 grams/km)		14,000		
Disposal proceeds:				
Part relating to FYA (£11,000 × 50%)				(5,500)
Part relating to SR pool		(5,500)		
		13,500	15,000	
WDA – 6%		(810)		810
WDA – 18%			(2,700)	2,700
WDV c/f		12,690	12,300	
Allowances				8,010



谢谢观看

THANK FOR WATCHING